Module 6
Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

In accordance with HKAS 28 *Investments in Associates and Joint Ventures*, an associate is an entity over which the investor has significant influence. HKAS 28 further defines significant influence as having the power to participate in the financial and operating policy decisions of the investee but is not in control or joint control of these policies.

HKAS 28 states that if an entity holds 20% or more of the voting power of the investee, it is presumed that the entity has significant influence, unless it can be clearly demonstrated that this is not the case.

Peacock holds 40% of the voting power of Alligator and it is therefore presumed that Peacock has significant influence over Alligator. Further, the existence of significant influence by Peacock is evidenced by the representation on the board of directors of Alligator. Alligator is therefore an associate of Peacock.

HKAS 28 stipulates that the investor should account for the investment in associate using the equity method in its consolidated financial statements. The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of net assets of the investee. The profit or loss of the investor therefore includes its share of the profit or loss of the investee (and the other comprehensive income of the investor includes its share of other comprehensive income of the investee).

Answer 1(b)

Peacock Group

Consolidated statement of financial position as at 31 March 2024

	Peacock	Salmon		Adjustments Dr.	Adjustments Cr.		Consolidated
	HK$'000	**HK$'000**		**HK$'000**	**HK$'000**		**HK$'000**
ASSETS							
Property, plant and equipment	261,000	197,000	*CJ1*	24,000	600	*CJ2*	481,400
Goodwill	-	-	*CJ1*	1,420			1,420
Investment in associate	-	-	*EA1*	55,110	640	*EA3*	58,470
			EA2	5,600	1,600	*EA4*	
Investments	165,000	-			109,140	*CJ1*	750
					55,110	*EA1*	
Current assets	44,000	66,000			750	*CJ3*	109,250
Total assets	470,000	263,000					651,290
EQUITY AND LIABILITIES							
Share capital	193,000	50,000	*CJ1*	50,000			193,000
Retained earnings, 1 April 2023	72,000	61,000	*CJ1*	61,000			72,000
Profit for the year	43,000	30,000	*CJ2*	600	120	*CJ2*	69,130
			CJ3	18,000	18,000	*CJ3*	
			CJ3	750	5,600	*EA2*	
			CJ4	6,000			
			EA3	640			
			EA4	1,600			
Dividends declared	(9,000)	-					(9,000)
Retained earnings, 31 March 2024	106,000	91,000					132,130
Non-controlling interest			*CJ2*	120	27,280	*CJ1*	33,160
					6,000	*CJ4*	
Total equity	299,000	141,000					358,290
Current liabilities	171,000	122,000					293,000
Total equity and liabilities	470,000	263,000					651,290

	HK$'000	HK$'000
CJ1: Pre-acquisition elimination entries		
Dr. Share capital	50,000	
Dr. Retained earnings, pre-acquisition	61,000	
Dr. Property, plant and equipment (net)	24,000	
Dr. Goodwill (W2)	1,420	
Cr. Investments		109,140
Cr. Non-controlling interest (B/S)		27,280

	HK$'000
(W1): Fair value of net identifiable assets	HK$'000
Share capital	50,000
Retained earnings	61,000
Fair value adjustment – Property S	24,000
Fair value of net identifiable assets	135,000
(W2): Goodwill	HK$'000
Consideration	109,140
Add: Non-controlling interest at the acquisition date	27,280
Less: Fair value of net identifiable assets (W1)	(135,000)
Goodwill	1,420

	HK$'000	HK$'000
CJ2: Extra depreciation expense for fair value adjustment		
Dr. Depreciation expense (HK$24,000K ÷ 40)	600	
Cr. Accumulated depreciation – Property, plant and equipment		600
Dr. Non-controlling interest (B/S) (HK$600K x 20%)	120	
Cr. Non-controlling interest (I/S)		120

	HK$'000	HK$'000
CJ3: Downstream sale of inventories		
Dr. Sales	18,000	
Cr. Cost of goods sold		18,000
Dr. Cost of goods sold	750	
Cr. Inventories (W3)		750
(W3): Unrealised profit arising from the intra-group transaction		HK$'000
Transfer price		18,000
Less: Cost (HK$18,000K ÷ (1 + 20%))		15,000
Profit arising from the intra-group transaction		3,000
Unsold portion		25%
Unrealised profit from the intra-group transaction		750

	HK$'000	HK$'000
CJ3: Downstream sale of inventories		
Dr. Sales	18,000	
Cr. Cost of goods sold		18,000
Dr. Cost of goods sold	750	
Cr. Inventories (W3)		750
(W3): Unrealised profit arising from the intra-group transaction		HK$'000
Transfer price		18,000
Less: Cost (HK$18,000K ÷ (1 + 20%))		15,000
Profit arising from the intra-group transaction		3,000
Unsold portion		25%
Unrealised profit from the intra-group transaction		750

	HK$'000	HK$'000
CJ4: Share of profits to non-controlling interest		
Dr. Non-controlling interest (I/S) (HK$30,000K x 20%)	6,000	
Cr. Non-controlling interest (B/S)		6,000

	HK$'000	HK$'000
EA1: Reclassification of the investment to investment in associate		
Dr. Investment in associate	55,110	
Cr. Investments		55,110

	HK$'000	HK$'000
EA2: Share of associate's profit during the year		
Dr. Investment in associate	5,600	
Cr. Share of associate's profit (HK$14,000K x 40%)		5,600

	HK$'000	HK$'000
EA3: Amortisation arising from the fair value difference		
Dr. Share of associate's profit (HK$6,400K ÷ 4 x 40%)	640	
Cr. Investment in associate		640

	HK$'000	HK$'000
EA4: Reclassification of dividend income		
Dr. Dividend income (HK$4,000K x 40%)	1,600	
Cr. Investment in associate		1,600

Answer 2(a)(i)

HKAS 38 *Intangible Assets* defines an intangible asset as an identifiable non-monetary asset without physical substance. HKAS 38 further defines an asset as a resource controlled by an entity as a result of past events and from which future economic benefits are expected to flow to the entity.

Brand A satisfies the definition of intangible asset because:

- It is identifiable as it is separable. Brand A can be separated from the entity and sold individually.

- It is controlled by Baboons. As Brand A gives Baboons the ability to produce and sell the products under the brand, the revenue from the sale of products forms the future economic benefits flowing to Baboons. The capacity of Baboons to control the future economic benefits from Brand A stem from the legal rights.

- It does not have physical substance.

Answer 2(a)(ii)

An intangible asset is recognised, based on HKAS 38, if and only if:

- It is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and

- The cost of the asset can be measured reliably.

For a separate acquisition, as in this case, the price an entity pays to acquire an intangible asset will reflect expectations about the probability that the expected future economic benefits embodied in the asset will flow to the entity. The probability recognition criterion is considered to be satisfied for separately acquired Brand A.

The cost of a separately acquired Brand A can be measured reliability, as the purchase consideration is in the form of cash and Baboons' shares.

As both recognition criteria are met, Brand A can be capitalised on Baboons' statement of financial position.

Answer 2(a)(iii)

Brand B is an internally generated brand and cannot be capitalised as an intangible asset. The costs of generating Brand B cannot be distinguished from the cost of maintaining or enhancing the entity's internally generated goodwill or of running day-to-day operations and therefore are explicitly prohibited from capitalisation in HKAS 38.

Training costs cannot be capitalised as an intangible asset. An entity usually has insufficient control over the expected future economic benefits arising from training, as the employees have a right to leave the company at any point subject to their notice period. The company therefore cannot restrict the access of this economic benefits to others and therefore fails to meet the definition of an intangible asset.

Answer 2(b)

Baboons Limited
Statement of Cash Flows
For the year ended 31 March 2024

	HK$	HK$
Cash flows from operating activities		
Profit before tax		192,000
Adjustments for:		
Depreciation expense	980,000	
Amortisation expense	70,000	
Loss on fair value change of investments	180,000	
Gain on disposal of equipment	(420,000)	
		810,000
Increase in inventories (HK$723,000 – HK$690,000)	(33,000)	
Decrease in trade and other receivables (HK$180,000 – HK$182,000)	2,000	
Increase in trade and other payables (HK$660,000 – HK$651,000)	9,000	
		(22,000)
Cash generated from operations		980,000
Income tax paid (W1)		(36,000)
Net cash from operating activities		944,000
Cash flows from investing activities		
Purchase of property, plant and equipment (W3)	(6,399,740)	
Proceeds from disposal of equipment (W2)	2,420,000	
Purchase of intangible assets (W4)	(1,230,460)	
Net cash used in investing activities		(5,210,200)
Cash flows from financing activities		
Proceeds from issuance of shares (HK$15,000,000 – HK$10,000,000 – HK$3 x 100,000)	4,700,000	
Dividends paid (W5)	(98,000)	
Net cash from financing activities		4,602,000
Net increase in cash and cash equivalents		335,800
Cash and cash equivalents, 1 April 2023		1,396,200
Cash and cash equivalents, 31 March 2024		1,732,000

W1: Income tax paid	HK$
Current tax payable b/f	57,000
Income tax expense	31,000
Income tax paid (balancing figure)	**(36,000)**
Current tax liability c/f	52,000

W2: Disposal of equipment items

Cash proceeds (balancing figure)	**2,420,000**
Less: Carrying amount of disposed items (HK$8,400,000 – HK$6,400,000)	(2,000,000)
Gain on disposal	420,000

W3: Purchase of property, plant and equipment	HK$
Balance b/f	34,950,000
Purchase (balancing figure)	**6,399,740**
Disposal (W2)	(2,000,000)
Depreciation expense	(980,000)
Balance c/f	38,369,740

W4: Purchase of intangible assets	HK$
Balance b/f	329,800
Purchase (balancing figure)	1,530,460
Amortisation expense	(70,000)
Balance c/f	1,790,260

The purchase of Brand A was settled partly in cash and partly by share issue with a total fair value of HK$300,000 (HK$3 x 100,000). Cash outflow was therefore **HK$1,230,460** (HK$1,530,460 – HK$300,000).

W5: Retained earnings	HK$
Retained earnings b/f	27,900,000
Profit for the year	161,000
Dividends declared and paid (balancing figure)	**(98,000)**
Retained earnings c/f	27,963,000

Answer 3(a)(i)

In accordance with the *Conceptual Framework for Financial Reporting*, the objective of general purpose financial reporting is to provide financial information about the reporting entity that is useful to existing and potential investors, lenders, and other creditors in making decisions relating to providing resources to the entity.

Answer 3(a)(ii)

There are two fundamental qualitative characteristics for information to be useful: (i) relevance; and (ii) faithful representation.

Information is considered relevant if it would make a difference in the decisions made by users. Information is relevant if it has predictive value, confirmatory value, or both.

To be useful, information must, on top of being relevant, faithfully represent the substance of the phenomena (in words and numbers) that it purports to represent. Information is a faithful representation when it is complete, neutral, and free from error.

Answer 3(b)

HKAS 8 *Accounting Policies, Change in Accounting Estimates and Errors* acknowledges that many items in financial statements cannot be measured with precision but can only be estimated. It defines accounting estimates as monetary amounts in financial statements that are subject to measurement uncertainty. Estimation involves judgement based on the latest available, reliable information. Useful life is one such estimation. An estimate may need revision as a result of new information or more experience. HKAS 8 therefore concludes that the revision of the useful life of a property, plant and equipment does not relate to prior period and should be recognised prospectively.

Caribou's change in the estimation of the useful life is therefore recognised prospectively by including such estimation in profit or loss in the period of the change (i.e. during the year ended 31 March 2024), without changing the depreciation expenses charged to prior years' statement of profit or loss.

Prior to the change in useful life of Plant X,

	HK$ million
Cost	5,230
Less: Residual value	(1,230)
Depreciable amount	4,000
Useful life	20 years
Annual depreciation expense	200 (W1)
Depreciation expense charged before 30 September 2023 (HK$200 million x 5.5 year)	1,100
Carrying amount as at 30 September 2023 (HK$5,230 million – HK$1,100 million)	4,130

After the change in the useful life of Plant X,

	HK$ million
Carrying amount as at 30 September 2023	4,130
Less: Residual value	(1,230)
Adjusted depreciable amount	2,900
Remaining useful life	5 years
Annual depreciation expense	580 (W2)

Statement of profit or loss
for the year ended 31 March 2024 (extract)

	HK$ million
Depreciation expense HK$200 million (W1) x ½ + HK$580 million (W2) x ½	390

Statement of financial position
as at 31 March 2024 (extract)

	HK$ million
Cost	5,230
Less: Accumulated depreciation (HK$220 million x 5.5 + HK$580 million x ½)	(1,390)
Carrying amount	3,840

Answer 4(a)

Period	Total number of ordinary shares outstanding		Number of months outstanding		Weighted average number of shares outstanding
1 January to 31 March	20,000,000	x	3/12	=	5,000,000
1 April to 31 December	(20,000,000 + 2,000,000) = 22,000,000	x	9/12	=	16,500,000
					21,500,000

Basic earnings per share for the year ended 31 December 2023 = HK$51,600,000 ÷ 21,500,000 = HK$2.4

Answer 4(b)

In accordance with HKAS 33 *Earnings per Share*, options are dilutive when they would result in the issue of ordinary shares for less than the average market price of ordinary shares during the period. In Gorilla's case, the exercise price of the Options (HK$4) was below the average market price of its shares during the year ended 31 December 2023 (HK$7) and therefore the Options are in-the-money and considered dilutive.

The amount of dilution is the average market price of ordinary shares during the period minus the issue price. To calculate diluted earnings per share, potential ordinary shares are treated as consisting of both the following:

- A contract to issue a certain number of the ordinary shares at their average market price during the period. They are ignored in the calculation of diluted earnings per share. In Gorilla's case, this refers to a contract to issue 400,000 ordinary shares (700,000 x 4 ÷ 7) at the average share price of HK$7.

- A contract to issue the remaining ordinary shares for no consideration. Such ordinary shares generate no proceeds and have no effect on profit or loss attributable to ordinary shares outstanding. In Gorilla's case, this refers to a contract to issue the remaining 300,000 ordinary shares (700,000 – 400,000) for no consideration. The 300,000 shares arising from the Options are dilutive and are added to the number of ordinary shares outstanding in the calculation of diluted earnings per share.

Answer 4(c)

Oscar and Jessie are the executive directors of Gorilla. They are members of the key management personnel of Gorilla as they have the authority and responsibility for planning, directing, and controlling the activities of Gorilla. They are considered related parties of Gorilla and the issue of the Options is therefore a related party transaction of Gorilla.

* * * END OF EXAMINATION PAPER * * *